

| By Malini Bhupta |

Walk into the Wipro campus in Bangalore's Electronic City, and the first thing you are likely to notice is the windmills. Starting from the streetlights which are powered by wind turbines, to the kitchens which are fired by methane gas produced from food waste, this technology company does nothing that's not good for the earth. The company does not even engage with partners or suppliers who do not adhere to energy efficiency and waste management norms. The IT behemoth has overhauled everything from light bulbs to campuses in a bid to conserve energy and other natural resources.

Be it India's back-offices or sweat shops, which manufacture cheap goods for American and European retail stores, almost every company will now be accountable for its environmental practices. Indian companies doing business with large global corporations have developed a green conscience, with automobile component and IT industries among the earliest to have embraced this trend. Traditionally, businesses have only looked at increasing returns for their shareholders, without paying attention to the ecological damage they cause. But drastic climate changes and the increasing occurrence of floods and hurricanes has changed this. While the Kyoto Protocol, an international treaty on climate change, has set binding targets on 37 industrialised nations to reduce their greenhouse gas (GHG) emissions, India is not re-

quired to reduce carbon emissions under the present agreement. However, when the treaty comes up for review in 2012, developing countries like India and China will be under pressure to commit on emission reduction or else companies in developed economies will not do business with them. Explains Surojit Bose of PricewaterhouseCoopers: "Even though India is not a signatory to the climate change treaty, which mandates industrialised countries to cut emissions, most Indian companies are facing non-regulatory pressure from their overseas customers. Companies today have to conform to a conduct that is globally acceptable."

A classic example of this is the Indian automobile industry. From 2010, the European Union has made it mandatory for all automakers to produce cars that can be recycled up to 80 per cent so that the pressure on

natural resources is lower. So, auto component companies are abandoning the use of carcinogenic products in favour of biodegradable materials. Sona Koyo and Bharat Forge, leading auto component manufacturers who supply to the European market, have stopped using heavy metals like mercury, chromium and lead.

Not surprisingly, green is clearly the "in thing" this season. India Inc. is racing to develop products that will consume less energy, pollute the environment less and use only materials that can be recycled. So the next time you go shopping for consumer electronic items or cars, make sure that the product offers the best in class fuel and energy efficiency. Given the change in technologies that the new world order requires, a Confederation of Indian Industry (CII) report on the need to build a low carbon economy warns that new companies may take environmental leadership in this space and leave existing firms in a disadvantageous position.

While some companies, like in the auto and IT industries are smart enough to change themselves, others, like Wipro and the Tata Group are seeing a big business opportunity in developing and promoting clean technologies, which can not only lower the carbon footprint of companies but costs as well. The opportunity for ventures that help others become green is huge. The venture capital world is looking for companies which offer solutions that use little or zero non-renewable resources. The market for these companies is pegged at Rs 35,250 crore (\$7.5 billion) worldwide and is

\$20 tn

to be invested in energy till 2030 is likely to flow to India and China in low carbon projects.

Rs 20 cr

per megawatt is the investment cost of a stand-alone solar power producing plant.

30%

electricity saving possible in new commercial buildings if these use green technologies.